

Purpose of financial reporting

The purpose of financial reporting is to aid in the overall financial management of a project by providing a profile of expected costs and an indication of when they will be incurred.

An accurate financial reporting system will provide the client with the information needed to ensure that the project remains affordable and that funds are available at the right time. It will compare the latest estimated out-turn cost with the previously approved budget and will ensure that the budget is not exceeded without justification.

See the RICS guidance note [Cost reporting](#) (1st edition) for more information on this subject.

Financial reports should be prepared monthly as a minimum; ideally, the financial report for a project should be an online live document, available for viewing at all times by the relevant parties and enabling an up-to-the-minute view of the cost status of the project.

The use of a web-based project extranet system enables live cost reports to be viewed by individuals with the appropriate authority, and is ideal for ensuring that decisions are based on the best possible information.

Content of financial reports

The format and contents of the financial report for a project will depend on the method of procurement adopted and the form of contract. However, the basic principles outlined below will apply.

- The report should compare the latest forecast view of out-turn cost with the previously approved budget.
- The forecast out-turn cost should be derived from the base estimate plus the risk allowance.
- The report should contain a change control log.
- Any future anticipated changes should be identified.
- The report should contain an updated risk register.
- Any claims or potential claims should be indicated.
- The report should give a commentary on the key areas of expenditure change since the previous report.
- If the report is indicating overspend, it should comment on the steps being taken to bring costs back in line with the budget.
- The report should provide a forecast payment profile.
- The report should comment on payments made to date.

These points are expanded below.

Out-turn cost

This is the sum total of all costs committed to date, plus an estimate of amounts as yet uncommitted but required to complete the project.

Change control

See also [Change control and variations](#) for a more detailed description of the change control process.

A proper change control process ensures that changes are identified, costed and approved prior to issue. It ensures that authority is obtained for instructions issued and that full consideration is given in terms of value for money and impact before the change is made.

Changes could arise in a number of ways:

- through instructions of the project manager or architect
- through drawing changes or design development
- through site instruction or requests for information (RFIs)
- as a result of client changes or
- through value engineering opportunities.

The change control log included in the financial report will describe all changes, allocate a cost to them and identify a funding source. The change could be funded from the risk allowance (see below), from budget transfers or from a source external to the project.

Anticipated changes

It is important that the financial report identifies anticipated changes that have not yet been the subject of formal change control processes. These can be picked up from a variety of sources, including progress meetings and through informal discussion with the contractor and the design team members.

Risk register

The risk allowance will have identified risks for the costs that could potentially occur over the life of the project, over and above the base cost.

This risk allowance should be managed through the project life. Risk allowances should only be expended on the occurrence of the identified risk, and not simply used as a contingency. As a risk is expended, the associated cost will move from the risk allowance into the base estimated out-turn cost, and this will be recorded through the change control process.

A review of the remaining risk allowance on the overall financial report summary, when considered with the time period remaining on the project, will give a quick view of the financial health of the project.

If a risk occurs that has not been identified in the original register, or indeed if a risk overspends the allowance in the register, then both of these situations should be covered by change control.

Claims

The report should identify any claims for delay or disruption issued by the contractor, with their potential costs, and should also seek to identify the **potential** for such claims, in order to form an early warning mechanism. Such claims may be as a result of the client or design team

failing in their contractual obligations.

Key areas of change

It is useful for a client reviewing a financial report to have a brief headline indication of the main changes since the last report, rather than being left to study and interpret the full report.

Actions to reduce overspend

If the project is in an overspend situation, it is important that the team is proactive in finding solutions to the problem and that the overspend is not simply presented as inevitable.

Value engineering opportunities should be examined by the whole team, and a schedule of opportunities produced that lists the potential areas of saving, together with a note of the likely impact of those changes on time, cost and quality. This will enable the client to make an informed decision on measures to reduce expenditure. Care should be taken to thoroughly investigate all the potential implications of change. The introduction of a change intended to make a saving, but which eventually introduces uncertainty, delay and disruption, will be unhelpful.

Any accepted value engineering opportunities should be introduced to the project using the change control process.

Cash flow forecast

Cash flow is important to all clients, particularly those with a large portfolio of construction projects to manage within a set annual financial budget. It is therefore crucial that the financial report gives a clear indication of when funds will be required, as well as the level of funding needed. Depending on the procurement and contract method, there may be an agreed cash flow with the contractor for the base cost when the project starts on site. The forecasting element will then be limited to anticipation of when the expenditure of risk monies is likely to occur. It might still be necessary to adjust the forecast, however, if delay events occur.

A graphic representation of anticipated cash flow against planned cashflow is a quick and useful guide to project progress.

See the RICS guidance note [Cash flow forecasting](#) (1st edition) for more information on this subject.

Payments made to date

The report should include a brief comment on valuation status. Information should be provided on the gross amount and retention monies on the current valuation, together with an indication of the percentage value of the contract sum to which this equates. Valuations will be recorded against anticipated expenditure in the cash flow section of the report.

See [Valuations](#) for more information.

Summary

In summary, the financial report should be easy to understand. It should present the key information in a simple summary, with more detailed supporting information also provided. Those drawing up the report should bear in mind their audience and the information they wish to get across to their readers. The audience will primarily be interested in the answers to the questions listed below.

- What was the approved budget for this project?
- What is the anticipated out-turn cost?
- How much risk money remains?
- How much money has been expended to date?
- When are the remaining monies likely to be required?
- If there is an overspend situation, what corrective actions are being taken?

Supporting information should be included by way of explanation and to provide an audit trail. However, the provision of accurate headline figures is the most important element.

Be realistic about the cost impact of change; it is easy to be over-optimistic, but that approach leads to uncontrolled cost overrun. Realistic figures enable corrective strategies to be put in place should problems occur.